

FINANCING_BRIEF

Financing the depot — 7045 S 300 E, Midvale — the brief for tomorrow

Not advice. Eligibility facts are from the SBA's own page and lender guides as of 2026-09-19; every lender re-checks them. The entity decision is his.

The instinct, checked: SBA 504

A 504 does not fit a nonprofit. SBA rules exclude businesses engaged in nonprofit, passive or speculative activity. It also requires the borrower to occupy **51%** of an existing building (61% new construction) — a fleet depot with sixteen bays occupied by the operating company would meet that; a rental complex would not. And since March 1, 2026, every direct and indirect owner must be a U.S. citizen or national resident in the U.S.

So the 504 question is really an **entity** question. Two structures, one decision:

Structure	What it buys	What finances it
A • For-profit operating company owns the depot (the fleet company — pharmadash / the last-ten-yards LLC)	SBA 504: ~10% down, 50% bank first lien, 40% CDC debenture, fixed 20–25 year rate; the company must occupy 51% — sixteen bays, the charging plant, the dispatch office would	The fleet's revenue plus a DPS/venue contract as the debt-service story
B • Nonprofit owns the depot (the public-safety mission — closing-time rides, DUI reduction — as the charitable purpose)	Not 504. CDFI community-facility loans (Utah has six CDFIs; Rocky Mountain Community Reinvestment Corporation and Salt Lake Neighborhood Housing Services lend on community property), HUD-backed and state programs, tax-exempt bonds at scale, and grants for the capital stack	Highway-safety and public-health grants; a lease from the for-profit fleet company for the bays
Both — the common shape	Nonprofit holds the mission and the grants; for-profit holds the fleet and the operating risk; the depot sits with whichever one can borrow cheapest and occupy 51%	The nonprofit leases bays to the fleet; the lease is the nonprofit's debt service

Tomorrow's three calls, in order

1. **A CDC** — the Certified Development Company that packages 504s in Utah (the SBA's 504 page lists them by state). One question: *for-profit fleet depot, 51% occupancy, sixteen bays plus solar and storage — does the project pencil, and what is the down payment on a ~\$X purchase?* That answers Structure A in fifteen minutes.
2. **A Utah CDFI** — Rocky Mountain Community Reinvestment Corporation or Salt Lake Neighborhood Housing Services. One question: *a nonprofit acquiring a Midvale property as a community facility for a public-safety fleet — what do you lend on, at what LTV, and what does the board need to show?* That answers Structure B.
3. **The seller** — the complex is listed for rent, not sale; "built by the owner." Whether it is for sale at all is the first number, and it is not on Zillow.

What has to exist before either loan officer says yes

- The entity, formed, with an EIN — the nonprofit needs a board and a 501(c)(3) determination (months, not days); the LLC is a week.
- The three depot numbers (roof, bays, service) — folder 05.
- The measurement contract with the state — folder 04 — because a public-safety lender wants the metric, not the story.

- The first county's baseline — folder 02.

The honest read

The 504 is the cheaper, faster money and it wants a for-profit occupant. The nonprofit is the mission and the grants and it cannot use a 504. **The shape that fits both is the pair.** Which one owns the building is the decision tomorrow's two calls inform; nothing here makes it.

"How much tomorrow morning to have a chance?" — the number, three ways

Unit value assumed at ~\$750k (a 4,000 sq ft 2023 twin home in Midvale; not appraised — replace with the seller's number). Eight units ≈ \$6M. Estimates, marked.

The chance	What it costs tomorrow morning	What it buys
A chance to be taken seriously on the phone	~\$59 — the Utah LLC filing — and the three depot numbers	Two loan officers answer a real entity with real numbers instead of a story
A chance to close a 504 on one unit	\$75k-\$150k down — 10% standard; 15% if the business is new or the property is special-purpose; 20% if both. A startup fleet depot is both	One unit, two bays, the first car's home. The ladder holds \$25k; the gap is \$50k-\$125k
A chance to close a 504 on the complex	\$600k-\$1.2M down on ~\$6M	Sixteen bays, the roof, the battery. Not tomorrow. Not this year on the ladder
A chance to occupy the depot without buying it	~\$12k — first, last and deposit on one unit at \$3,995 — plus an option fee if the owner will write one (~1% of the unit, ~\$7.5k)	A master lease with an option to purchase: the fleet operates from the bays now, the 51% occupancy history starts accruing, and the purchase happens when the state's number exists and the lender has a story. This is the one the \$25k can reach tomorrow.

The honest answer (corrected 09-20 — the \$25k is not liquid): to own it with a 504, \$75k down on one unit, and the only capital in reach is the \$50k Andrea holds; the gap is \$25k, not \$50k, and it is hers to close or not. To *have a chance* on her money alone: a lease with an option, twelve to twenty thousand, leaves her thirty in reserve. The seller call is first. The nonprofit is \$59 and can be filed tonight.

Superseded 2026-09-20

His instruction: buy only — no rent, no lease, no option; no FHA. The property is bought by Andrea, in her name, on her lender's terms; the nonprofit track is unchanged. The lease-with-option and FHA passages above are struck. The current list is 00_MIND/plans/V3.0 PUNCH LIST.md.